

Sector Underwriting Note: Logistics

Ashva Capital Internal Credit Policy Document

Underwriting Notes: Logistics SME Lending

Version 1.0

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Approval: Board of Directors, Ashva Capital

1. Sector Overview

Logistics SMEs are businesses that provide transportation, warehousing, and freight forwarding services. This sector is characterized by high working capital intensity, seasonal fluctuations in demand, and significant asset-based collateral.

2. Working Capital Cycle

The typical working capital cycle for Logistics SMEs is 120-180 days, primarily due to long payment terms from customers and slow receipt of cash from receivables.

3. Sector-Specific DSCR Floor

The minimum Debt Service Coverage Ratio (DSCR) for Logistics SMEs is 1.50x, above the standard threshold of 1.25x. This higher floor reflects the sector's high working capital requirements and potential cyclical downturns.

4. Seasonality Adjustments

Seasonality adjustments will be applied to Logistics SMEs based on their industry segment:

- Freight Forwarding: +0.25% DSCR floor during peak season (Q2-Q3) and -0.10% DSCR floor during off-season (Q1-Q4)
- Warehousing and Storage: +0.10% DSCR floor during peak season (Q3-Q4) and -0.05% DSCR floor during off-season (Q1-Q2)

5. Common Causes of Distress

The two most common causes of distress in the Logistics sector are:

- Loss of key contracts or customers due to changes in market conditions or customer behavior
- Inefficient supply chain management leading to delays, damage, or loss of goods

6. Acceptable Collateral Types

Ashva Capital will consider the following collateral types for Logistics SMEs:

- Company-registered vehicles (trucks, vans, and trucks trailers)
- Warehouse equipment (forklifts, cranes, and other machinery)
- Leased assets with a minimum value of \$50,000

7. Maximum Exposure

The maximum exposure for Logistics SMEs will not exceed 8% of Ashva Capital's book.

8. Numeric Thresholds

- Minimum annual revenue: \$5 million
- Maximum debt-to-equity ratio: 3.00:1
- Minimum asset value (collateral): \$200,000
- Maximum annual accounts receivable turnover: 7.0

9. Exceptions

Logistics SMEs with a strong track record of innovation, diversified revenue streams, or partnerships with reputable companies may be eligible for relaxation of the DSCR floor requirement on a case-by-case basis, subject to the discretion of the Underwriting Committee.

10. Review and Revision

This underwriting note will be reviewed and revised annually, or as necessary, to reflect changes in the sector or Ashva Capital's credit policy.

Acknowledgement

Underwriters are required to acknowledge and adhere to this underwriting note. Failure to comply may result in deviation from Ashva Capital's credit policy and may compromise the quality of our credit decisions.

Underwriter Acknowledgement

Signature: _____

Date: _____